

If you're going to be in your home for many years, it makes sense to pay more points and get a lower interest rate. The lower payments you'll have with a lower rate will more than make up for the few thousand dollars you paid in points. Also, points are sometimes tax deductible; check on www.irs.gov for more information. If you don't plan to stay in your new home for very long, it's better to pay fewer points. If you want to calculate whether you would save or lose money by paying points, there are some free calculators at the HSH website (www.hsh.com) and at the Mortgage Professor's website (www.mtgprofessor.com/calculators.htm).

No matter which rate/point combination you choose, you'll want to go with the lender that offers you the most attractive deal. To make it easier for you to shop, the federal government requires lenders to tell you a mortgage's **annual percentage rate (APR)**. The APR is what you'd get if you took most of the charges you're paying on the mortgage (including the interest, points, private mortgage insurance, and certain fees) and expressed them as one annual rate.

This makes comparison shopping much easier. You can just compare APRs of the same types of loans (say, a thirty-year fixed-rate mortgage). It's not an exact science, though. The APR doesn't take into account certain charges like appraisal and document preparation fees. Plus, the APR can be affected by a lender's specific policies. For example, *refundable* application fees are taken into account when calculating the APR, but *nonrefundable* application fees are not. So in addition to asking for the APR, ask each lender for a list of fees that are not included in the APR. Also, if you're interested in an adjustable-rate mortgage, don't rely on the APR alone since other factors come into play. (See the box on chapter 7 for further explanation.)

Fifteen-Year versus Thirty-Year Mortgages

By far the most common type of mortgage is a fixed-rate loan that lasts for thirty years. Another type of mortgage you may consider is a **fifteen-year fixed-rate mortgage**. This type of loan is more difficult to qualify for than a thirty-year mortgage, and it often has a lower interest rate than a thirty-year fixed-rate loan. Since you pay it off in fifteen years rather than thirty, you're able to build up **equity**, or ownership, in the home sooner.